

2. Internal Control System

Risk management within the Group and the Company is based on a three-line-of-defense model and is organized to prevent or escalate any potential conflicts of interest.

First line of defense - Primary risk management, implemented by all business and support units and their employees, who daily identify and manage risks arising from their operations. In the first line, risk identification and the implementation of risk mitigation measures are carried out.

Second line of defense - Independent identification, assessment, analysis, and monitoring of risks, performed by the risk management, compliance, anti-money laundering (AML), counter-terrorism financing (CTF), sanctions compliance, fraud prevention, transaction monitoring, and data protection functions.

Third line of defense - Independent assurance on the effectiveness of the risk management and internal control systems, provided by the internal audit function.

The Group has implemented a process for preventing conflicts of interest, as well as a due diligence procedure for business partners. The Board oversees the monitoring of anti-money laundering, counter-terrorism financing, and sanctions compliance, with a designated responsible board member.

3. Risk Culture

The Group and the Company promote a risk culture that encourages the right behavior, based on the Group's and the Company's values, best industry practices, and ethical standards.

The Group and the Company ensure the creation of a comprehensive risk culture that facilitates the effective implementation of the risk management process, taking into account the development strategy and risk strategy of the Group and the Company.

4. Risk Measurement and Mitigation

At the end of the reporting period, the Group and the Company comply with all regulatory requirements.

Risk assessment is carried out by the Group and the Company based on developed methodologies, and the Bank assesses the capital adequacy required to cover the risks inherent to the Bank's and the Group's operations, based on the European Parliament and Council Regulation (EU) No. 575/2013 (June 26, 2013) on prudential requirements for credit institutions, as amended by Regulation (EU) No. 648/2012, and the standardized and basic indicator approaches described in the Regulation, as well as simplified methods described in the Latvian Bank's rules No. 321, "Regulations on the Capital Adequacy Assessment Process for Credit Institutions," dated September 30, 2024.

To assess the risks inherent in or expected for the operations of the Group and its companies, the

Group companies also perform stress testing.

To mitigate risks inherent to the Group and its companies, the Group companies develop and implement a limit control system that covers approved limits and defines the risk appetite limits specified in the business strategy. In cases where a risk limit violation is identified, the responsible person reports to the Group's Risk Director and the Management Board of the relevant Group company. In case of a regulatory limit breach, the Group company immediately informs the Bank of Latvia, and further actions are taken in accordance with the Bank of Latvia's regulatory requirements. The Supervisory Board of the Group company is also informed about the breach, and an action plan for remedying the breach is prepared and approved.

5. Risk Materiality Assessment Process

Significant risks are those risks inherent to the Group's and the Company's operations that could substantially negatively affect the Group's and the Company's reputation, ability to provide services, achieve strategic objectives, and/or result in substantial financial losses.

According to the nature of the Group's operations, significant risks are considered to include:

6. Credit Risk

The Group and the Company's goal in credit risk management is to maintain an optimal balance between credit risk, the expected return on assets, and liquidity. The credit risk management framework of the Group and the Company is based on an adequate assessment of the creditworthiness of borrowers and business partners, as well as adherence to established limits and restrictions.

The Group and the Company only invest funds in financial assets whose risks can be identified.

The Group and the Company mainly assume credit risk in Latvia. The Group and the Company issue only those loans where the risks of the borrower can be identified, assessed, and managed.

At the time of this report's preparation, the Group's operations that entail credit risk include the placement of funds in banks, investments in securities, issuing consumer and mortgage loans, and lombard loans. The Company's credit risk operations at the time of this report include the placement of funds in banks and loans issued to associated companies.

The Group and the Company assess credit risk both at the time of loan issuance and regularly throughout the loan's term, at least quarterly.

Each potential borrower undergoes an automated creditworthiness check, and a loan is not issued if criteria indicating an unacceptable credit risk are identified.

Loan issuance is executed through an automated process, with manual decisions being made only in specific cases. Loan agreement amendments are approved according to the internal regulatory documents. The evaluation of the loan application considers the client's creditworthiness, using external credit ratings as well as internal risk levels. Additionally, indicators such as DTI (Debt-to-

Income) and DSTI (Debt-Service-to-Income) ratios are analyzed. Given the characteristics of unsecured loan segments and the elevated credit risk concentration, enhanced control procedures are implemented both during the loan issuance process and in the timely identification of underperforming clients, along with the creation of provisions. Multiple client identification and verification methods are used for risk assessment, including identity checks, income analysis, and evaluation of existing obligations, cross-referencing the application data with external sources. Applications are analyzed using an automated credit risk underwriting process and centralized credit risk models based on client registration, application data, identification, fraud checks, and credit information.

In the unsecured loan segment, regular debt assignment practices are employed, while for secured loans, collateral valuation is carried out by qualified appraisers. The realization of collateral for lombard loans is organized in branches or through digital channels.

7. Concentration Risk

The Group and the Company integrate the concentration risk management system within the internal control framework and identify risk drivers that can create concentration risks in various operational areas.

Concentration risk is closely related to other risks, and its management system forms part of the various risk management policies and associated procedures of the Group and the Company.

Concentration risk is mitigated by setting various concentration limits, including limits for large risk transactions.

The Bank ensures compliance with large risk transaction limits both at the Bank's individual level and at the Group's consolidated level, as outlined in the European Parliament and Council Regulation (EU) No. 575/2013 (June 26, 2013) on prudential requirements for credit institutions, as amended by Regulation (EU) No. 648/2012, which classifies as large-risk transactions those whose value exceeds 10% of the Bank's and/or the Group's Tier 1 capital.

During the financial reporting period, both at the Bank's individual level and at the Group's consolidated level, it was ensured that the exposure to any single client or a group of connected clients did not exceed 25% of the Group's and the Company's Tier 1 capital. If a client is a credit institution or an investment broker company, or a group of connected clients containing one or more credit institutions or investment broker companies, and the client's country of registration is an EU member state or an equivalent jurisdiction (as determined by Commission Implementing Decision (EU) 2021/1753 of October 1, 2021, concerning the equivalence of regulatory requirements for third countries), the total risk exposure to such a client shall not exceed 100% of the Group's and the Company's Tier 1 capital. If the client is registered in a non-compliant jurisdiction, the risk exposure shall not exceed 25% of the Group's and the Company's Tier 1 capital.

Maximum Credit Risk

Dec 2025	Dec 2024	Dec 2025	Dec 2024
Group	Group	Company	Company
EUR'000	EUR'000	EUR'000	EUR'000

Demand deposits at Latvijas Banka	19 735	444	-	-
Night deposits at Latvijas Banka	-	34 931	-	-
Demand claims on credit institutions	3 807	397	17	18
Term claims on credit institutions	1 892	876	1 916	1 451
Loan to SIA Provendi Asset Management AIFP	68	79	68	79
Loan to IDXIRAS (from May 2024 – INDEXO Banka AS)	-	-	-	700
Term claims on credit institutions	235 982	1 070	-	-
Financial assets measured at fair value through profit or loss	8 026	-	-	-
Receivables	2 658	461	798	452
Total	272 168	38 258	2 799	2 700

8. Excess Leverage Risk

Excess leverage risk is the risk arising from the vulnerability of the Group's companies caused by actual or potential leverage in their funding structure, which could require unforeseen corrective measures regarding the Group's companies' strategy, including asset sales triggered by financial difficulties that may result in losses or adjustments in the value of remaining assets. Excess leverage risk may also arise from a decrease in the Group's and/or Group companies' Tier 1 capital due to losses or excessive accumulation of risk transactions against Tier 1 capital. The leverage risk is characterized by the leverage ratio and the mismatch between assets and liabilities.

The leverage ratio is calculated at the reference date for reporting, both at the Bank's individual level and at the Group's consolidated level, by dividing the Tier 1 capital measure by the total assets (excluding those excluded), the measure of the sum of off-balance-sheet risk transactions, and expressing it as a percentage.

9. Market Risk

Market risk is the potential for the management service recipient of the Company to incur losses due to the revaluation of financial instruments in its investment portfolio, which is related to changes in market values due to factors such as currency exchange rates, interest rates, equity prices, or the issuer's creditworthiness. The objective of market risk management is to reduce the market risk inherent in pension plans by investing in a variety of different types of investments and across various regions, thus mitigating the negative impact of financial instrument price declines.

10. Foreign Exchange Risk

Foreign exchange risk is the potential to incur losses from the revaluation of financial instruments denominated in foreign currencies due to fluctuations in exchange rates.

During the reporting period, the Group and the Company did not have and, as of the end of the reporting period, did not hold any significant foreign currency positions that could materially affect the Group's and Company's assets or liabilities.

The Company manages both direct foreign exchange risk, which arises from investments in financial

instruments denominated in foreign currencies, and indirect foreign exchange risk, which arises from investments in funds denominated in euros that further invest these funds in financial instruments denominated in foreign currencies. Indirect foreign exchange risk is managed by setting the investment asset allocation goal for debt securities portfolios linked to euro-denominated investment category bond indices in investment funds.

11. Interest Rate Risk

The objective of interest rate risk management is to ensure an appropriate balance between the interest rate risk assumed by the Group's companies and their yield to minimize the potential negative impact of interest rate risk on the financial condition and operations of the Group and/or Group companies.

Interest income is primarily generated by promoting the expansion of the credit portfolio, mainly by financing Latvian residents, and making every effort to prevent an increase in the NPL (Non-Performing Loan) ratio above the level specified in the risk appetite.

To assess interest rate risk, the Bank, as the responsible entity for risk management at the Group level, regularly evaluates and plans the repricing term structure both at the Bank's individual level and at the Group's consolidated level, calculates the reduction in net interest income and economic value due to adverse interest rate changes, and determines the amount of capital required to hedge the interest rate risk, both at the Bank's individual level and at the Group's consolidated level.

Interest rate risk assessment is based on the following principles:

- The impact of interest rate changes on financial results and economic value is evaluated at both the Bank's individual and Group's consolidated levels.
- The interest rate risk level is determined.
- All significant interest rate risks related to assets, liabilities, and off-balance-sheet items are evaluated.

The sources of interest rate risk are:

- Basis risk - the risk of incurring losses when interest rates change on instruments sensitive to interest rate changes with identical repricing or maturity dates but different base rates.
- Gap risk - the risk of incurring losses due to an imbalance in the term structure of instruments sensitive to interest rate changes, covering interest rate term structure changes that occur consistently across the yield curve (parallel risk) or differently across time intervals (non-parallel risk).
- Option risk - the risk of incurring losses when instruments sensitive to interest rate changes directly (e.g., options contracts) or indirectly (e.g., loans with early repayment options, demand deposits, term deposits with early withdrawal options, fixed-rate loans) have options that change the size and terms of cash flows.

The degree to which the Group is exposed to interest rate risk is reflected in the term structure of interest rate-sensitive assets, liabilities, and off-balance-sheet claims and liabilities, prepared by considering the remaining repayment or interest rate revision terms of financial instruments sensitive to interest rate changes, selecting the shortest term.

12. Liquidity Risk

The objective of liquidity risk management is to ensure the necessary level of liquidity, achieving an appropriate, optimal balance between return and risk according to the established risk management principles.

The Group and the Company implement a liquidity management strategy, considering the maturity and volatility of the raised funds, the liquidity level of assets, as well as the balance between the maturity of assets and liabilities, changes in the Group's and the Company's operations, and external circumstances affecting it.

The Group and the Company assume liquidity risk within the set limits and restrictions.

To manage liquidity risk, the Group and the Company apply a combination of asset and liability management methods:

- Asset management related to accumulating liquidity reserves, investing excess cash in line with management decisions and cash flow forecasts.
- Liability management based on the ability to raise financing if necessary.

To ensure liquidity, the Bank, as the entity responsible for overseeing risk management at the Group level, as well as the Company, undertakes the following activities:

- Regularly assesses and plans the term structure of assets and liabilities.
- Ensures that liquid assets are available in sufficient amounts for fulfilling obligations.
- Controls the funding structure.
- Performs intra-day liquidity risk monitoring.
- Regularly assesses the liquidity risk level, including conducting stress tests.
- Develops internal regulations for liquidity risk management, enabling timely identification, evaluation, analysis, and monitoring of liquidity risk.

The Bank has introduced an early warning system that allows for the early identification of potential difficulties and the operational assessment of the need to implement liquidity risk mitigating measures.

Please refer to Note 32 for the liquidity analysis of the Group's and the Company's assets, liabilities, and off-balance-sheet obligations, which was conducted considering when these can be recovered, repaid, or used as collateral for obtaining liquid assets.

13. Operational Risk

Operational risk is the risk of incurring losses due to inadequate or failed internal processes, human actions, system performance, or external events. This includes legal and documentation-related risks, as well as the risk of losses arising from trading, settlement, and valuation procedures carried out on behalf of the management service recipient. Information and communication technology (ICT) risks are assessed within the framework of operational risk.

The objective of operational risk management is to ensure effective and successful operations while minimizing the likelihood of unexpected losses. The impact of operational risk is always considered when making business decisions.

The operational risk management system in the Group and the Company is established on the assumption that certain operational risk is inherent to all Group and Company activities, processes, and systems.

All Group and Company employees are responsible for the daily identification of operational risk. The key elements of operational risk management include:

- Operational risk identification;
- Operational risk self-assessment;
- Operational risk monitoring;
- Operational risk control and mitigation;
- Operational risk stress testing.

To promptly detect operational risk events and implement appropriate mitigation measures, the Group and the Company have established a database for recording operational risk events. Within the Group and the Company, a procedure is in place requiring any employee, regardless of position, to immediately register any operational risk event that has caused or could potentially cause losses (regardless of their form). All operational risk events registered in the database are reviewed, and if necessary, risk mitigation measures are developed and implemented to improve the internal control system.

The Group's and Company's information and communication technologies are vital for maintaining sustainable business operations. To mitigate risks associated with ICT operations, the Group and the Company ensure timely remediation of identified control deficiencies, implement consistent third-party risk management, and develop and continuously improve technological controls.

The Group and the Company establish and implement the procedures, scope, and quality of outsourced services required for their operations to manage and minimize risks associated with outsourcing and its potential impact on business continuity. Before delegating any function, the Group and the Company evaluate the risks associated with outsourcing to ensure it can continue providing stable and sustainable operations.

The objective of legal risk management is to ensure compliance with the laws of the Republic of Latvia, European Union legislation, and other applicable compliance laws, regulations, and standards in the legal support of the Group's and the Company's operations.

14. Sustainability Risk

Sustainability risk is the risk that an event or circumstances in the environmental, social, or corporate governance (Environmental, Social, Governance - ESG) areas could negatively impact the value of investments managed by the Company. The Company's risk appetite in sustainability, or the amount of sustainability risk the Company is willing to take on to achieve its investment strategic goals, is considered medium. The Company balances the potential environmental, social, and governance risks associated with investments against the potential long-term benefits in line with its investment strategy.

The Company strives to select investments that at least meet the medium ESG rating level.

15. Model Risk

The objective of the model risk strategy is to ensure that the developed models are fit for their intended purpose, align with the specific operations and complexity of the Group's companies, are sufficiently accurate and reliable, and are properly documented and managed.

The Group's companies take all possible measures to ensure that the internal models used are well understood, including their methodology, input data, assumptions, limitations, and results, and that they are validated, reviewed, monitored, and adjusted as needed.

16. Reputation Risk

The Group's companies refrain from engaging in activities that may result in or be associated with an increased reputation risk, regardless of financial benefits or compensation. Reputation is fundamentally important and is carefully analyzed when making decisions.

Any media coverage of the Group's companies is monitored to build a positive corporate image, continuously tracking media mentions and taking timely actions to prevent negative media escalation and public backlash.

Valid customer complaints are addressed at the management level and resolved promptly and appropriately. Special attention is given to managing information security risks, reducing significant information security incidents such as large-scale customer data breaches or violations of sensitive information confidentiality.

17. Compliance risk

Compliance risk is the risk that the Group and the Company will incur losses or be subject to legal obligations or sanctions, or that their reputation will deteriorate, if the Group and the Company fail to comply with or breach compliance laws, regulations and standards.

The Group and the Company operate in a manner that ensures compliance with applicable laws and regulations.

Compliance management within the Group and the Company is ensured by defining clear roles and responsibilities and by implementing external regulatory requirements through internal policies and procedures that are transparent and understandable to employees.

The Group and the Company take all necessary measures to comply with applicable laws and regulations, including in the areas of conflict of interest management, personal data protection, information security, etc.

18. AML/CFT and Sanctions Risk

An effective risk management system in the areas of Anti-Money Laundering (AML), Countering the Financing of Terrorism (CFT), and sanctions is crucial to ensure that these risks are identified, continuously monitored, and managed with appropriate mitigation measures.

The Group and its subsidiaries, according to their type and scale of operations, conduct and document an assessment of AML, CFT, and sanctions risks to identify, assess, understand, and manage the risks associated with their activities and clients. The goal of this risk assessment is to help the Group understand the AML, CFT, and sanctions risks it faces and to evaluate the necessary actions and resources required to implement mitigation measures. Based on this assessment, an internal control system (ICS) for AML, CFT, and sanctions is established, along with the development and documentation of relevant policies, procedures, and instructions.

The subsidiaries within the Group have established and maintain an internal control system and policy that ensures compliance with the regulatory requirements of Latvia and the European Union, as well as outlining the duties and responsibilities of employees in this area across all Group companies, in line with their business activities.

AML, CFT, and sanctions risks are managed based on the risk assessment, which considers the specific risks of each subsidiary within the Group, national and EU risk evaluations, as well as the characteristics of clients, investors, business partners, products, services, and supply channels. Based on this, an internal control system and associated internal regulations are developed and regularly reviewed (at least once every 18 months or upon significant changes).

The Group applies a risk-based approach to the assessment of clients, investors, and business partners, ensuring client due diligence and enhanced due diligence in high-risk cases, as well as determining situations where business relationships are not initiated or are terminated. The Group ensures the identification of suspicious transactions, refrains from conducting them, and reports them promptly to the Financial Intelligence Unit and other competent authorities, in accordance with the prohibition to inform clients about such reports.

To ensure the effective operation of the system, the Board oversees the management of risks and receives regular reports from the responsible employee. The Board ensures compliance with regulatory requirements, allocates resources, and ensures the proper qualification of personnel. Additionally, a responsible member of the Board and a responsible employee (head of the AML/CFT function) are appointed to organize and monitor the implementation of the AML/CFT internal control system.

The Group regularly conducts employee training in the fields of AML/CFT and sanctions, and ensures the technological solutions for client due diligence, transaction monitoring, and sanctions screening. Documents and information regarding clients and AML/CFT measures are stored and processed in accordance with regulatory requirements.

19. Business Model Risk

The Group's companies maintain a reasonably diversified, viable, and sustainable business model, offering a wide range of financial services to clients with varying needs. During the establishment and